

people trade in it. In general, the cycles of gold run the opposite of the U.S. dollar. So observing the dollar's trends can give clues to the price of gold also. Income potential, 5-6. Risk, 8-9.

LIMITED PARTNERSHIPS: A limited partnership is where you pool your money with another group of investors to purchase an investment, usually in real properties. The investment is managed by a general partner who has the authority to buy and sell. Through the late '70s and early '80s apartments and office complexes were commonly purchased through limited partnerships. The investment in a limited partnership is no better than the property and the management. The key is to know the general partner and his credibility. Usually the success of any venture is dependent on his ability to acquire and manage the properties. For all intents and purposes, the limited partners are "silent" investors totally dependent on the general partner.

As a limited partner, your liability is normally limited only to the amount of money that you have at risk. That is the only kind of limited partnership I would recommend. Other limited partnerships require subsequent annual payments. For instance, it may be a \$30,000 investment requiring \$10,000 upfront and \$10,000 for each of two additional years. I would not recommend these because they carry a contingent liability. You should limit your liability to only the money that you have at risk. In the past, limited partnerships in properties such as apartment complexes, office complexes, or shopping centers have been excellent investments, since much of the benefit was to shelter other income. However, since 1987 most of these benefits have been gradually eliminated, and the tax write-offs can be only used to shelter passive income. For most investors, the risk is high for the return on these types of investments. Income potential, 6-7. Risk, 8-9.